



Market Briefs Pro

Read less news

Good morning, Pro Briefers.

If you're banking in the U.S., you may have noticed that you have a ton of options these days. And many of those options? They haven't been around for very long.

You may even be one of the thousands of Americans who have switched to a smaller or a digital-only bank.

These newer, less-traditional banks are called neobanks.

Definition: A neobank is a new-age bank that doesn't have physical branches, but instead operates on digital platforms.

And it's where we've identified a Main Street Shift: More customers are choosing neobanks for their banking needs.

This is causing growth in neobanking platforms, alternative banking platforms, and finance infrastructure companies.

Are big banks going away?

Simply put, no.

There's been some noise in the media about big banks potentially disappearing, and bank executives claiming that stricter-than-ever regulation makes it hard to do business.

To understand this shift, our analysts talked to Pavel Jakovlev, the head of Product Innovation & Growth for the Swiss neobank, AMINA - he's been working in the digital asset and banking space for over a decade.

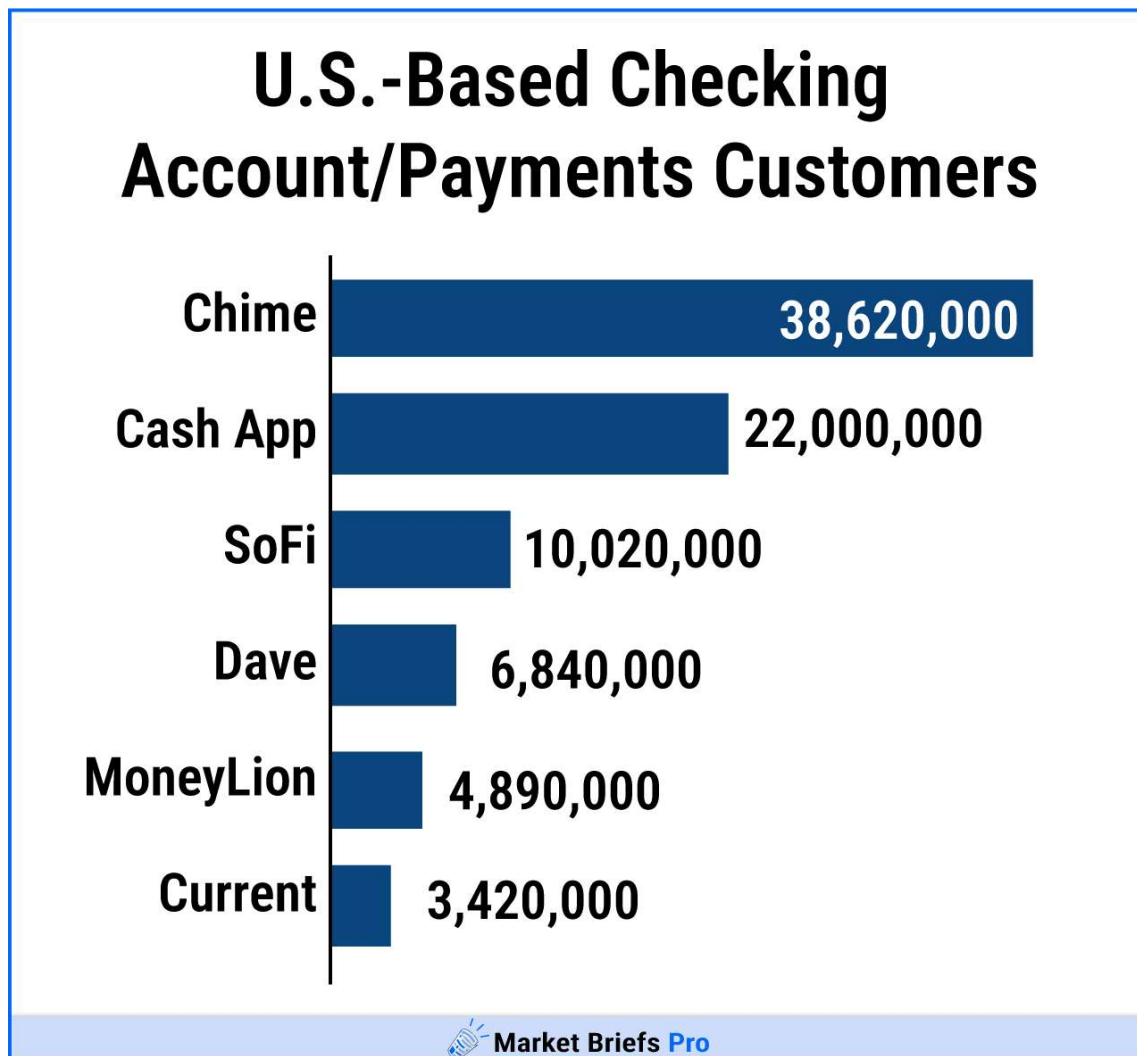
Pavel told our analysts that big banks aren't going anywhere:

"[They] move trillions per day...there are a handful of these large super banks that are able to operate *truly* on a global scale, and everyone

comes to them to make sure that transactions are executed."

The truth is that banking profits are hitting record highs.

But these profits are from higher federal interest rates and strong investments - studies show that customer satisfaction and new account creation is going down for big banks.



Data via Cornerstone

This is where neobanks come in.

A Forbes study shows that neobanks host more new accounts than ever before. Meanwhile, big banks are closing and consolidating branches.

And all of those things that cause big banks to profit? Well, they benefit neobanks too, which is why the neobanking industry has some of the highest compound growth projections around.

This week, we're going to show how investors can get in on that growth, looking at the neobanks and credit alternatives that consumers are going to, as well as the companies that help power them.

We want your feedback: Tell us what you think about this edition of Market Briefs Pro [by clicking here](#).

BANKS

Neobanking Platforms

First off, what is a neobank?

For one, it's a digital-first bank, rather than a physical bank.

You might be saying, "But wait, Chase has an app," and you're right - but traditional banks have built digital apps to support their existing business, whereas neobanks are entirely digital.

As a result, neobanking services tend to use more modern technologies, have faster service, and lower or no banking fees. These things have become a big draw for customers.

Neobanks have established themselves by identifying pain points for the average customer and looking to eliminate them.

Popular neobanking features include:

- No overdraft fees
- No minimum balances
- No maintenance fees
- No foreign transaction fees

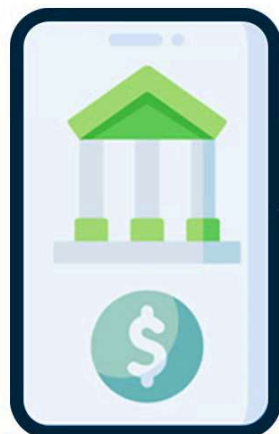
These features became appealing to lower and middle-income households, which often struggle to handle the constant fees of larger banks.

And the results have been clear:

- In 2020, neobanks accounted for just 36% of U.S. checking accounts.

- Neobanks accounted for 44% of all new U.S. checking accounts in 2024.
- The number of young adults who listed a traditional bank as their primary bank has fallen by 9% since 2020.

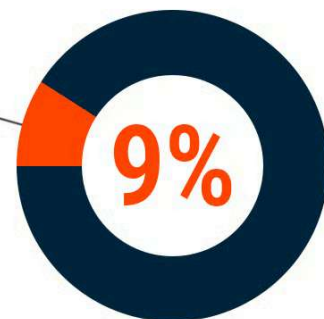
Neobanks Popularity On The Rise



Neobanks Accounted For
• **44%** Of All New
U.S. Checking Accounts
In 2024



Since 2020, **9%** fewer
young adults use traditional
banks as their primary bank.



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Data [via](#) EMARKETER

The largest neobank in the U.S. by number of accounts is Chime, which has more than 22 million total accounts, over half considered to be primary accounts.

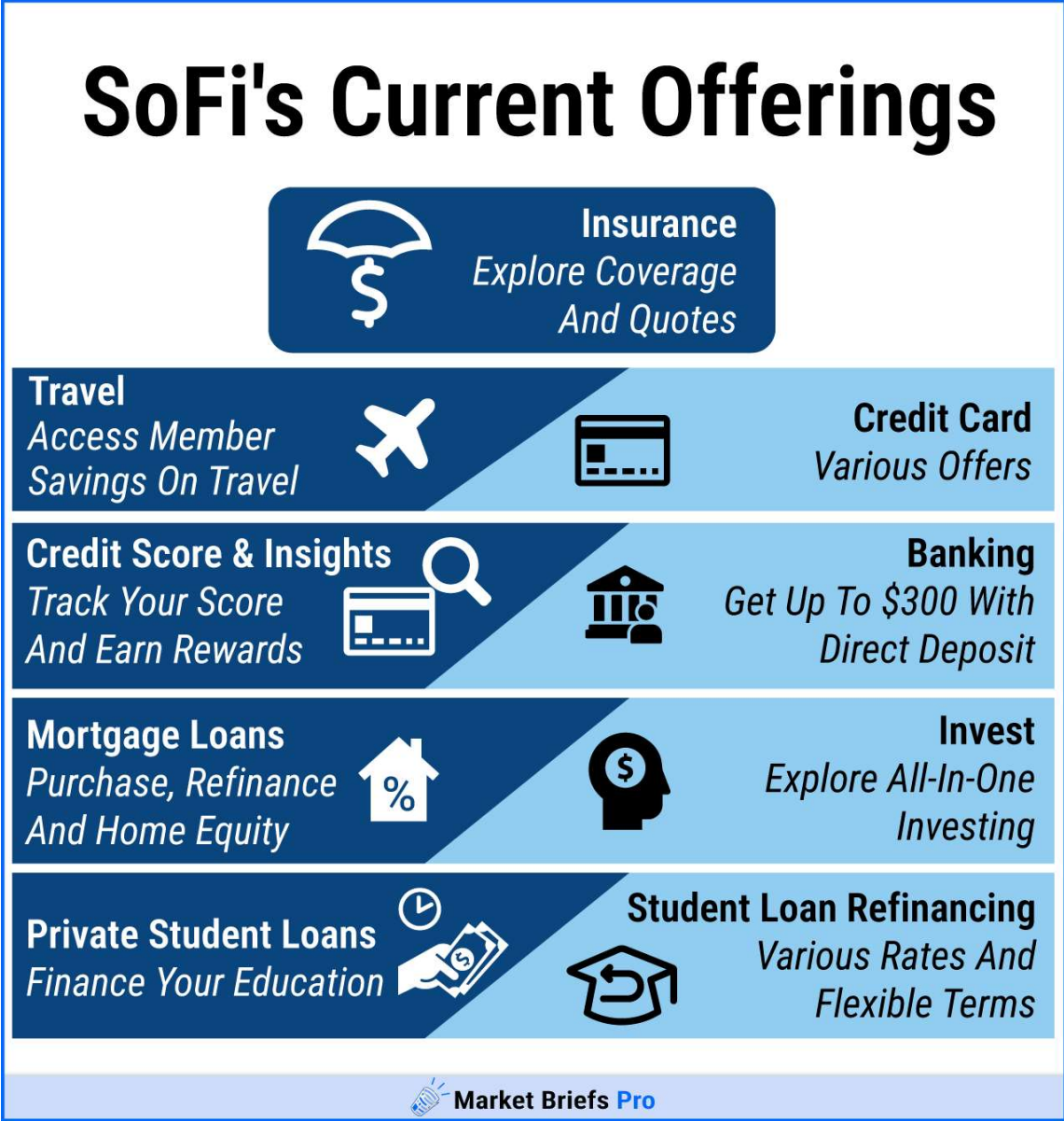
Chime was the first neobank in the U.S. While it was privately-held, its model has become popular, creating publicly-traded competitors.

One of the most successful neobanks in the U.S. is SoFi Technologies (SOFI).

SoFi features many of the same core pillars as Chime (no-fees, digital-first, etc), and has around 4 million consumer bank accounts.

Where SoFi distinguishes itself is by also providing easily accessible investing and moneylending services.

SoFi's Current Offerings



The infographic is a grid of service offerings. At the top is a dark blue box for 'Insurance' with an umbrella icon. Below it are four rows, each split into two light blue boxes. The first row contains 'Travel' (with an airplane icon) and 'Credit Card' (with a card icon). The second row contains 'Credit Score & Insights' (with a magnifying glass over a card icon) and 'Banking' (with a building icon). The third row contains 'Mortgage Loans' (with a house icon) and 'Invest' (with a head icon containing a dollar sign). The fourth row contains 'Private Student Loans' (with a clock and money icon) and 'Student Loan Refinancing' (with a graduation cap icon). At the bottom is a light blue bar with a lightbulb icon and the text 'Market Briefs Pro'.

Insurance <i>Explore Coverage And Quotes</i>	
Travel <i>Access Member Savings On Travel</i>	Credit Card <i>Various Offers</i>
Credit Score & Insights <i>Track Your Score And Earn Rewards</i>	Banking <i>Get Up To \$300 With Direct Deposit</i>
Mortgage Loans <i>Purchase, Refinance And Home Equity</i>	Invest <i>Explore All-In-One Investing</i>
Private Student Loans <i>Finance Your Education</i>	Student Loan Refinancing <i>Various Rates And Flexible Terms</i>
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Image [via](#) SoFi

Looking at all types of accounts (consumer, investment, lending), SoFi has well over 10 million.

- Behind Chime (22 million) and SoFi (10 million), the next largest neobanks are Current (5 million) and Varo (3 million).

SoFi's innovation is bringing neobanking principles to other types of banking (like investment).

SoFi Technologies, Inc. (SOFI)

1 Year Price →

10.98
(+53.42%)



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Data [via](#) Yahoo! Finance

While the market has been volatile in 2025, share prices for SoFi are up 53% year-over-year.

By comparison, JPMorgan shares are up 28% year-over-year.

SoFi's revenues have also seen incredible growth.

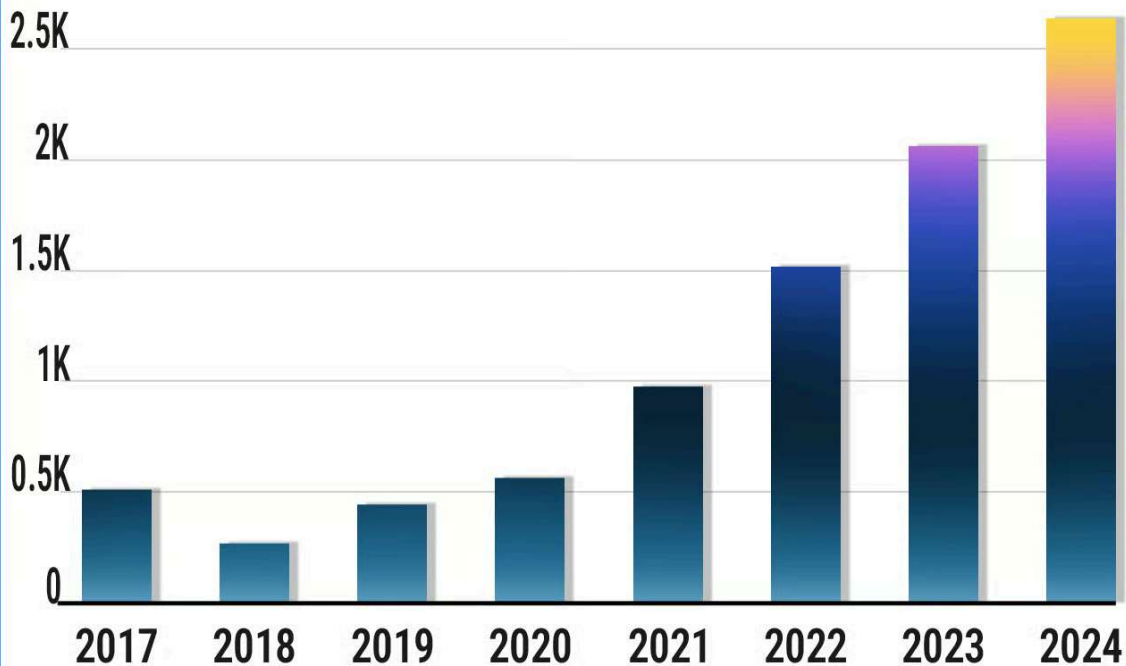
Then: \$565 million in 2020.

Now: \$2.6 billion in 2024.

SoFi's success has given it the potential to become one of the major American banks.

SoFi Technologies, Inc. (SOFI)

(Revenues In \$Millions)



 Market Briefs Pro

Data [via](#) SoFi

While Chime and SoFi have become the dominant businesses in U.S. neobanking, this shift is global.

South and Central America have less banking infrastructure than the U.S. or Western Europe, and their populations have been quick to adopt digital-first banking.

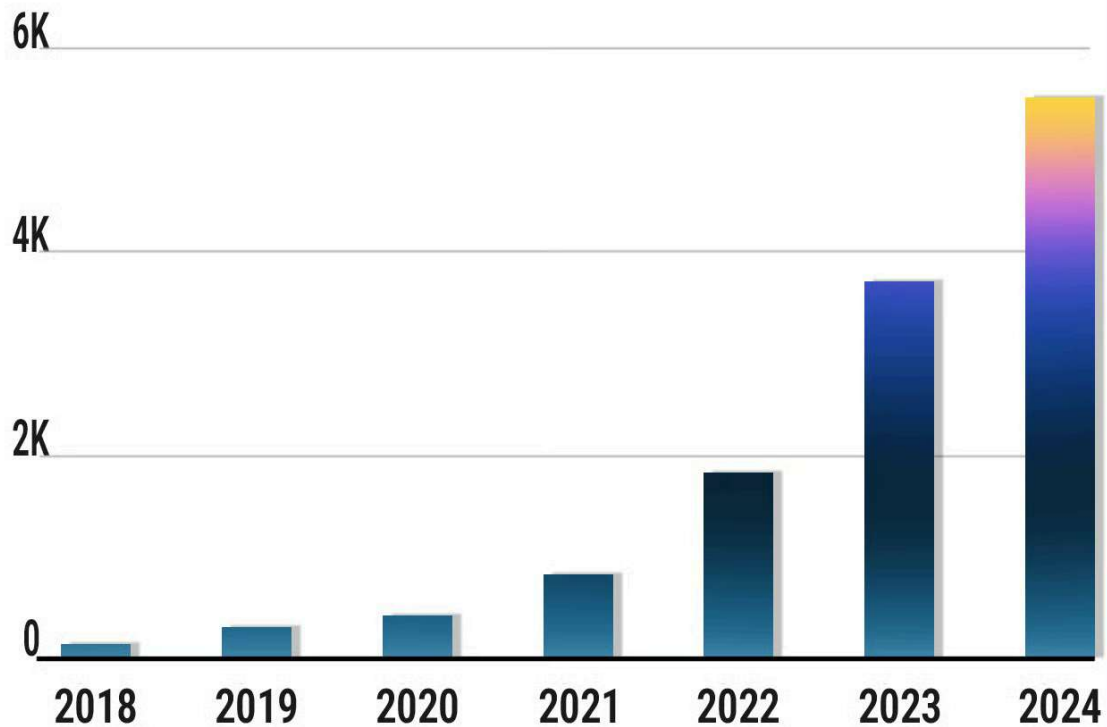
Nu Holdings (NU) and its neobank, NuBank, has become a major institution in South and Central America.

- The Central Bank of Brazil has stated that NuBank is the third-largest financial institution in Brazil.
- By the end of 2024, Nu Holdings reported 114 million global customers - a 22% increase year-over-year.

Nu Holdings' revenue has reflected this staggering growth.

Nu Holdings, Ltd. (NU)

(Revenues In \$Millions)



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Image [via](#) NuHoldings

Nu has also leveraged this growth to expand its offerings into travel booking and cell service offerings that are built to target its primary markets.

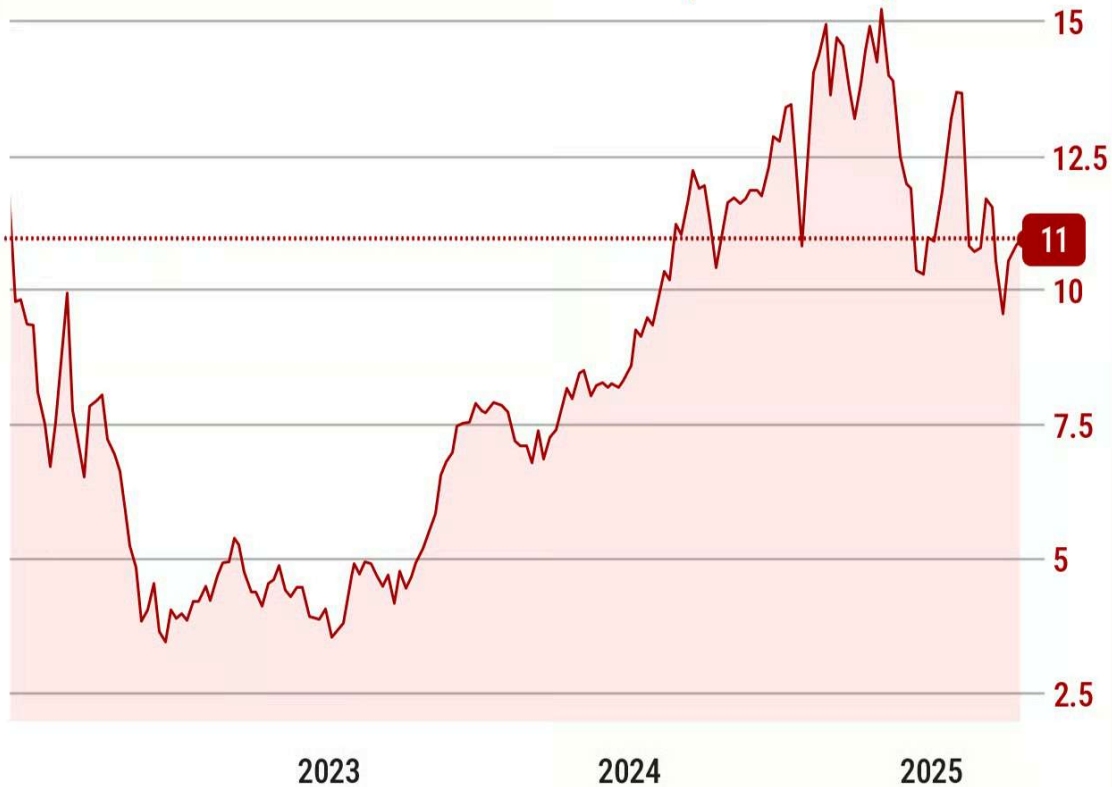
High growth combined with the reinvestments of profits, Nu holds all of the hallmarks of a company on its way up.

If share growth becomes more closely aligned with the company's performance, investors could start to see massive returns.

Nu Holdings Ltd. (NU)

3 Year Price →

11
(-2.22%)



 Market Briefs Pro

Data [via](#) Yahoo! Finance

LENDERS

Banking Alternatives

One of the major appeals of neobanking is that it can eliminate barriers to financial access - but even neobanks have limitations.

These limitations are particularly noticeable in what are considered high-risk demographics, which often include:

- Households below the poverty line.
- Those working in gig economies.

- Customers who operate almost entirely in cash.

Enter: Banking as a service (BaaS).

Rather than operating as banks, these companies often provide banking as a service (BaaS) to companies for their employees.

While still utilizing digital-first practices, one of the major differences between these banking alternatives and neobanks is the inclusion of fees.

- Targeting financially vulnerable customers comes with a higher level of risk, and many banking alternatives rely on fees for profits.

One of the most popular BaaS companies is Go2Bank, owned by Green Dot Corporation (GDOT).

Go2Bank provides digital banking and prepaid debit cards for many corporations that either operate in gig economies or have a large number of low-paying jobs.

Go2BANK Major Partners



- Go2Bank's major partners include Dollar General, CVS and Walmart.

While Green Dot doesn't specify how much of its revenue comes from Go2Bank, it's included in their Consumer Services segment.

In 2024, the Consumer Services segment reported 1.88 million active accounts and \$161 million in profits.

Greendot's revenues and share prices have both been dropping over the past few years, including those of its Consumer Services segment.



Image [via](#) Yahoo! Finance

So what's the opportunity?

Since it targets low-income and vulnerable customers, Green Dot tends to fall when the economy is strong and rises during and after periods of turmoil.

In other words, any prolonged downturn in the U.S. economy could benefit Green Dot through its Go2Bank brand.

The small loan side of alternative banking has already begun to see success through the early 2025 market volatility.

- Oportun Financial (OPRT) has utilized neobanking practices to bring personal loans and credit cards to high-risk consumers.

In particular, Oportun has been targeting Latino and other immigrant communities in the U.S..

These groups often struggle to acquire traditional loans or lines of credit, which Oportun provides at higher-than-average interest rates.

Oportun Loan Details	
Loan Types	Unsecured / Secured
Maximum APR	35.99%
Min Amount	\$300
Max Amount	\$10,000 / \$6,000
Term Length	12 - 54 Months
Origination Fee	Up To 10%
Credit Score	"No Score" To Poor Credit
Cosigners	Yes
Late Fee	\$15 Or 5%
Returned Payment	\$15

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Data [via](#) The Yukon Project

While falling a bit in 2024, Oportun’s revenue has shown slow but steady growth, up around 50% from 2020.

Company share prices have shown much stronger growth, particularly since the end of the election cycle.

Oportun Financial Corporation (OPRT)

1 Year Price →

4.61
(+116.43%)



 Market Briefs Pro

Data [via](#) Yahoo! Finance

- Shares are up 116% year-over-year and 18% YTD.

Even if the U.S. economy continues to grow, Latino and immigrant communities may continue struggling to qualify for loans from traditional banks, and Oportun should continue to rise.

TECH

Neobanking Infrastructure

One of the biggest similarities between neobanks and banking alternatives is that they're digital-first. In fact, they're often built on the same digital infrastructure.

Major banks like JPMorgan and Bank of America are huge companies capable of developing their digital presence.

But neobanks are only digital, so building their platforms comes *before* their customers.

How do they do it? Rather than building their infrastructure, these companies rely on existing digital finance companies.

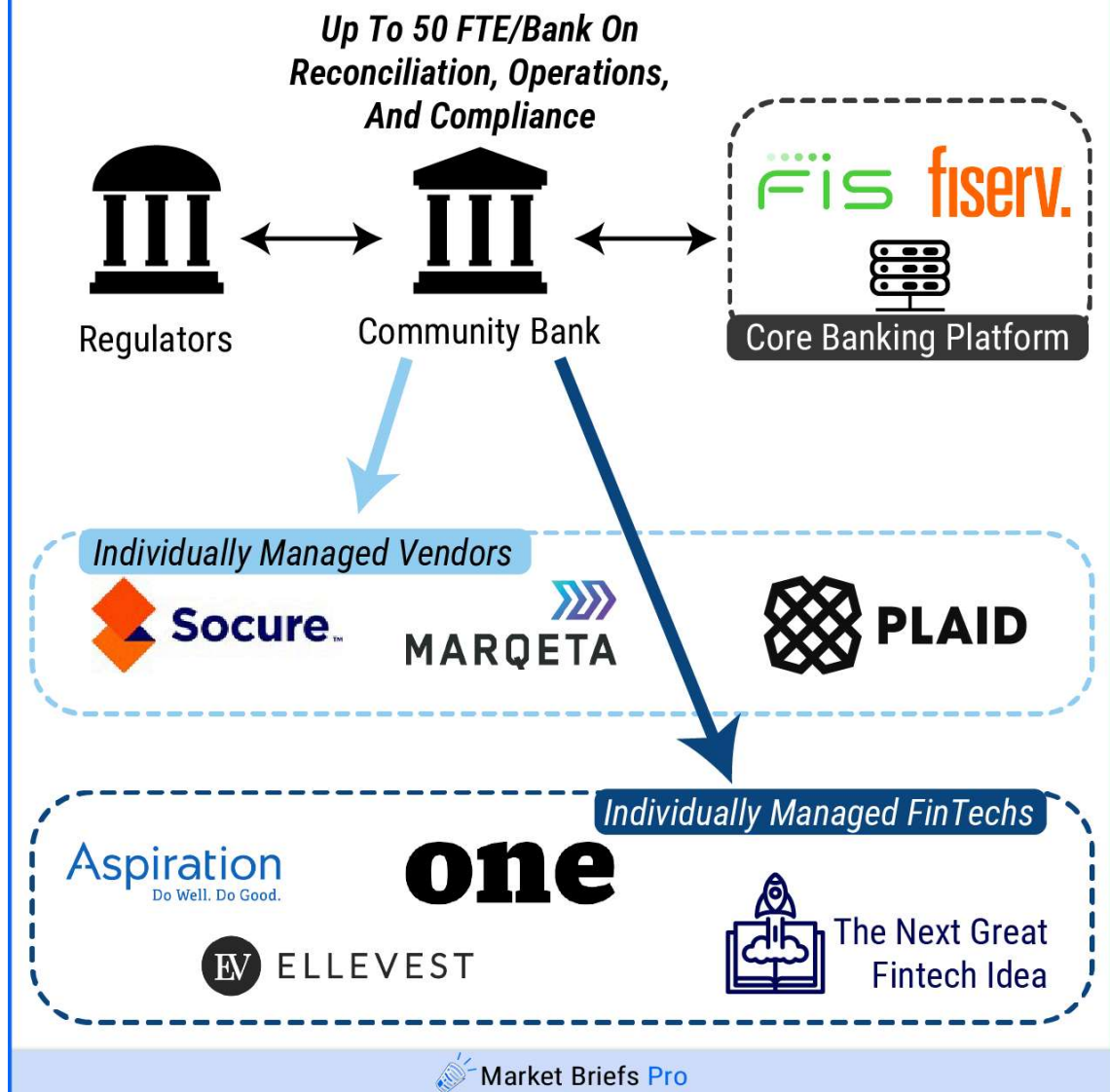
If you're using a neobank, you may notice your transactions go through Bancorp or Zelle.

Pavel told our analyst that "a lot of the infrastructure is reliant on the operations of the large banks."

What does this mean? Financial infrastructure companies and the tech they've developed for major banks are the backbone of all digital banking.

Without them? *We wouldn't have neobanks.*

Digital Banking Infrastructure



Data [via](#) Medium

What makes these infrastructure companies different is that they benefit from both neobanking **and** traditional banks going digital.

One of the most commonly used companies in digital finance is Fiserv (FI).

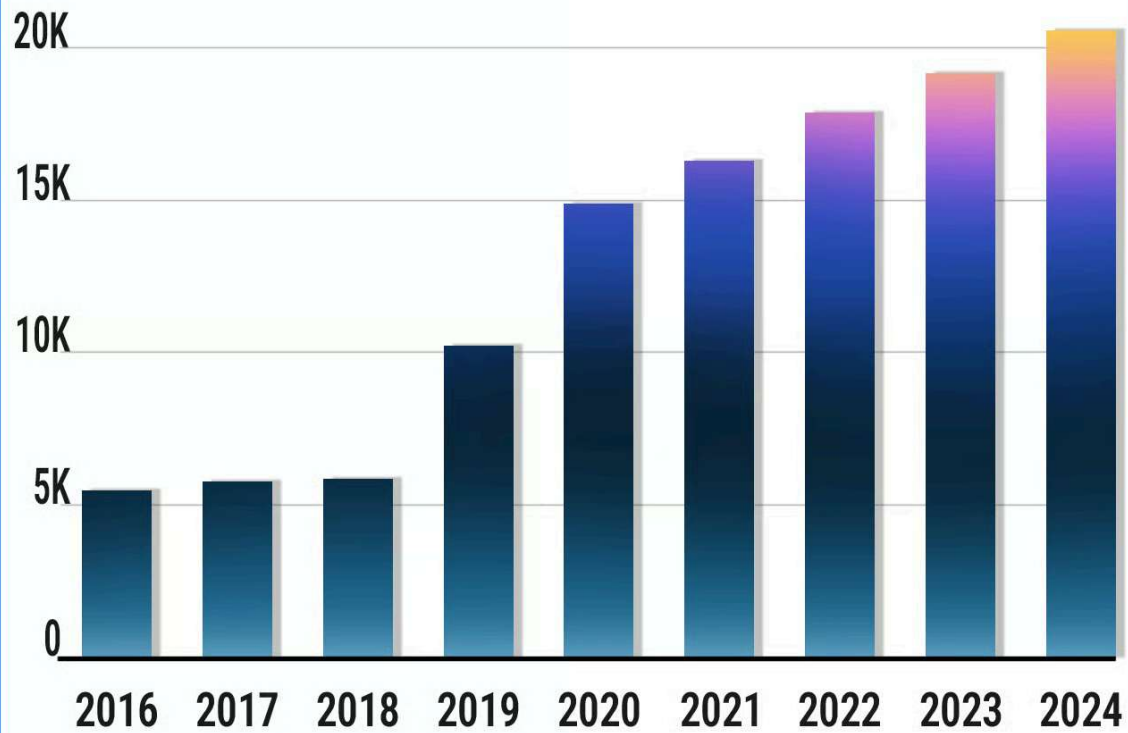
If you've ever used Zelle, deposited a check using your phone, or made real-time payments from your banking app, you've used Fiserv.

Fiserv creates the code and software that allows for quick digital payments.

Its technology is considered a cornerstone in digital banking, so it's no surprise that its revenue has shown solid growth in recent years.

Fiserv, Inc. (FI)

(Revenues In \$Millions)



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Data via Fiserv

- FI's revenue was relatively flat at around \$5.5 billion until digital banking became widespread in 2019, when it jumped to \$10 billion.
- FI's revenue ended 2024 at \$20.4 billion and has shown strong growth every year since 2019.

Shares of FI have also seen strong returns, up 107% in the last 5 years, and up 41% year over year.

Currently, Fiserv has little-to-no competition and a strong presence in both neo and traditional banking.

As more consumers pick neobanks, and traditional banks keep developing their digital presence, Fiserv should continue to see strong growth.

Fiserv, Inc. (FI)

5 Year Price →

208.76
(+107.45%)



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Data [via](#) Yahoo! Finance

Catering more to neobanks, Marqeta (MQ) has built a credit card network that it licenses out to other companies.

- Consumers have begun to expect credit and debit cards from their banks; without Marqeta, a new bank would have to build a nationwide payment network before it could issue cards.

Marqeta provides the payment networks for clients like:

- Chime
- Cash App
- Current
- Klarna

...and many more.

Marqeta's established model and high-profile partnerships have drawn lots of attention from Wall Street analysts, yet revenue and share prices have

struggled.



Data via Yahoo! Finance

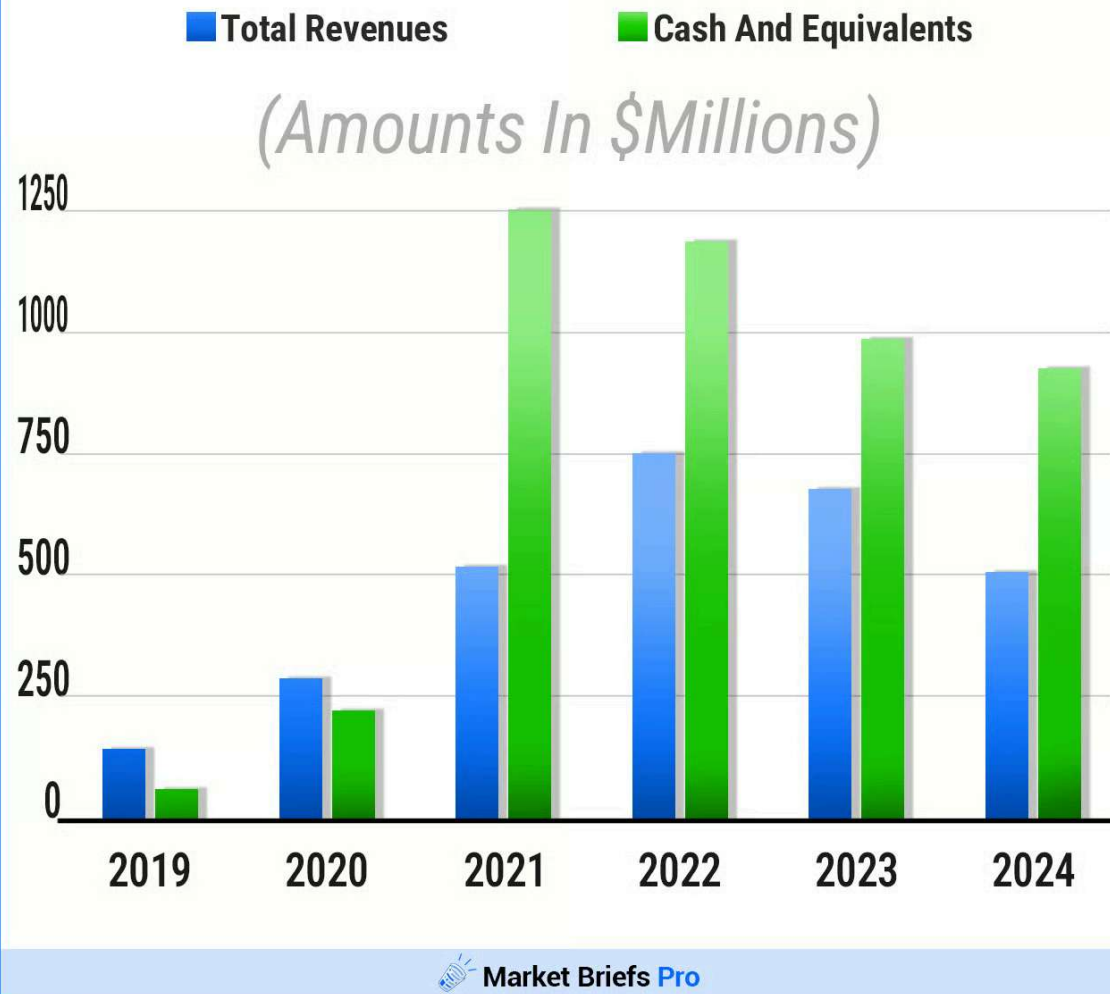
While essentially flat YTD, company shares are down 29% year-over-year and over 88% in the last 5 years.

Similarly, revenue peaked at \$748 million in 2022 but has fallen to \$507 million in 2024.

Why is performance struggling despite a solid business model?

Rather than reinvesting into growth, Marqeta has been increasing cash reserves and is considered to be a cash-rich company.

Marqueta, Inc. (MQ)



Data via Marqueta

- Marqueta holds \$923 million in cash equivalents against its \$507 million in revenue.

Being cash-rich allows a company to both weather an unstable economy and pivot quickly when needed.

Marqueta's cash reserves have many analysts believing the company is poised for strong growth once the economy stabilizes.

REVIEW

Uncharted Regulations

While neobanking is on the rise, there are certainly many risks to investors.

The most obvious reason is potential regulatory changes. Many neobanks and financial institutions operate under less strict regulations due to their smaller size and limited scope.

But this is changing - Pavel told our analysts that his team "welcomes regulation" and that rather than limiting: "Within those boundaries, you actually can innovate."

It's also important to know that banking alternatives (such as Go2Bank) are **not banks**, despite providing some banking services. They face very little regulation and oversight.

Common digital features such as early paycheck access are also fairly new and have yet to be examined by regulators.

Note: Many neobanks offer early access to paychecks if they are from consistent direct deposits.

There's also rising competition from traditional banks. Customers are choosing neobanks because of their easy-to-use digital platforms and things like no-fee banking.

Major banks are continuing to develop their digital platforms.

If they were to begin offering no-fee accounts and other features that target low and mid-income customers, there would be less of a case for neobanks.

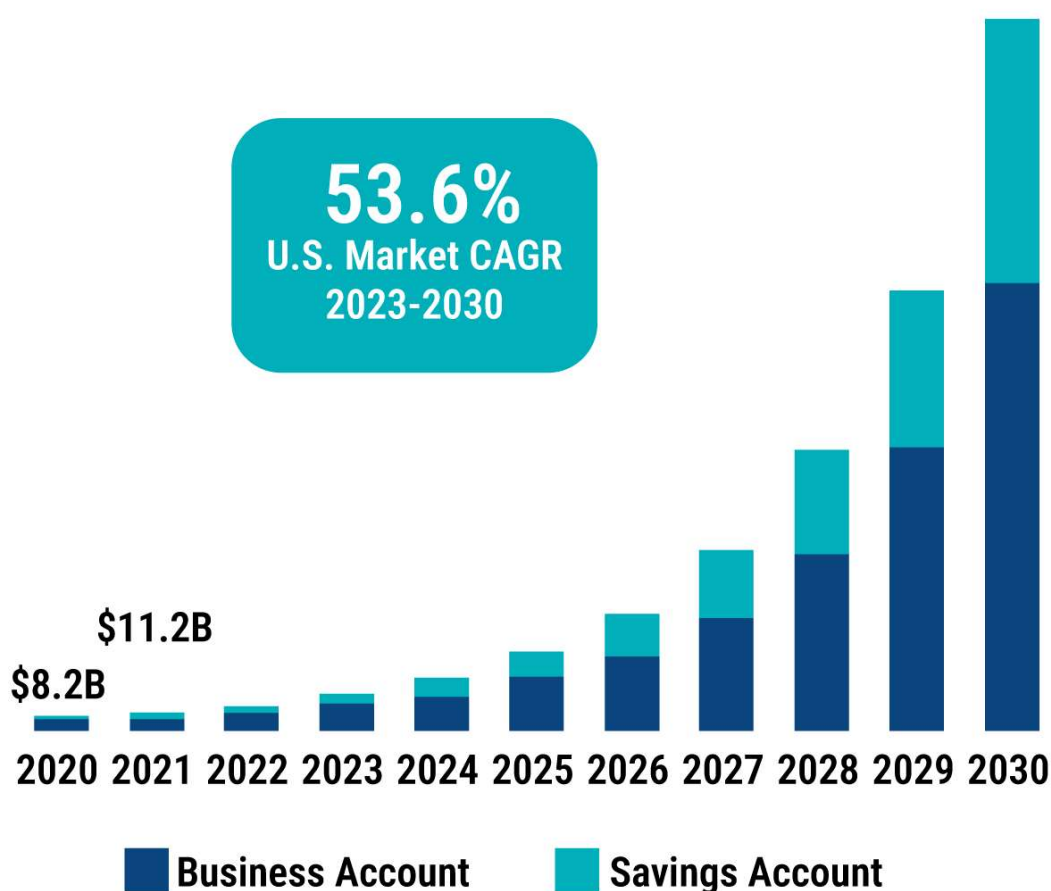
FUTURE

The Next Generation of Banks

As of today, banking practices are facing less regulation, not more, under the Trump administration, and major banks are seeing plenty of profits without targeting high-risk customers.

U.S. Neobanking Market

Size, By Account Type, 2020 - 2030 (USD \$Billion)



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Data via Grand View Research

Neobanks and banking alternatives seem to have carved out their niche in middle and lower-income households, and digital architecture is set to grow alongside these companies.

The growth of this industry seems as if it may just be getting started.

During our interview, Pavel noted that he's starting to see "Fintech as a service" and it's scaling up the ability to create new digital banks:

"They go 'give us the brands that you have' and like a month, you'll have your own neobank - with cards, with the accounts...they're beautiful and sleek. We're at that stage where these things are becoming a commodity."

Investors who take the time to understand neobanking may find themselves on the ground floor of the next generation of major banks.



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Briefs Media, LLC, 100 Renaissance Ctr Ste 1014 #43212 , Detroit, Michigan 48243, United States